

Group Assignment 1 - Group I

1. Construction of Wind Turbine

Scenario 1

Assume that WindCorp performs the major part of construction activities on its own premises and installs the wind turbine on the customer's premises in December 2022

► **Assess whether the performance obligation is satisfied at a point in time or over time according to IFRS 15.35**

IFRS 15.35 states: An entity transfers control of a good or service over time and, therefore, satisfies a performance obligation and recognizes revenue over time, if one of the following criteria is met:

Condition	Status
A. The customer simultaneously receives and consumes the benefits provided by the entity's performance as the entity performs	No As the wind turbine is still developed during the development process and can't be used by the customer until it is finished
B. The entity's performance creates or enhances an asset (for example, work in progress) that the customer controls as the asset is created or enhanced	No As the wind turbine is made on premise (windcorp's site) which the legality and control is still fully on windcorp's side, which does not create enhancement of assets of the customer
C. The entity's performance does not create an asset with an alternative use to the entity and the entity has an enforceable right to payment for performance completed to date	No The turbine is standard turbine and has alternative use, but Windcorp does not has an enforceable right to payment as the wind turbine is built on their site and requires certificate of acceptance in terms of finalization in 2022

Conclusion: Based on the checklists above, we could not find at least 1 criteria met. Therefore we consider the transfer of control of a good and service as **point in time**.

► **Compute the respective contract revenues earned and show the respective journal entries**

Since the transfer of control is **point in time**, we should take a look at **IFRS 15.38** which includes indicator:

Indicators	Point in Time
The entity has a present right to payment for the asset	Dec 2022 Last billing
The customer has legal title to the asset	Dec 2022 (when acceptance certificate is signed)
The entity has transferred physical possession of the asset	Dec 2022 (when it's done built)
The customer has the significant risks and rewards of ownership of the asset	Dec 2022 (when it's finally transferred to customer's site)
The customer has accepted the asset	Dec 2022 (when acceptance certificate is signed and turbine is moved to customer's site)

Journal entries

	2020	2021	2022
Cumulative costs incurred to date	225,000	540,000	607,500
Incurred cost of the period	225,000	315,000	67,500
Estimated costs to be incurred as of year-end	450,000	60,000	-
Billing & Payment of the customer	150,000	515,000	85,000

Year	Account	Debit	Credit
2020	Inventories- <i>Work in Progress</i>	225,000	
	Cash		225,000
	Cash Contract Liability	150,000	150,000
2021	Inventories- <i>Work in Progress</i>	315,000	
	Cash		315,000
	Cash Contract Liability	515,000	515,000

2022	Inventories- <i>Work in Progress</i> Cash	67,500	67,500
	Cash Contract Liability	85,000	85,000
	Contract liability Revenues	750,000	750,000
	Cost of Sales Inventories- <i>Work in Progress</i>	607,500	607,500

Financial Statement of Scenario 1:

Period	2020	2021	2022 (before acceptance certificate)	2022 (after acceptance certificate)
Inventories	225,000	540,000	607,500	0
Cash	-75,000	125,000	142,500	142,500
Contract Liability	150,000	665,000	750,000	0
Revenues	0	0	0	750,000
COGS	0	0	0	607,500
Net Income	0	0	0	142,500

Scenario 2

Assume that WindCorp constructs the wind turbine solely on the customers premises

► Assess whether the performance obligation is satisfied at a point in time or over time according to IFRS 15.35

IFRS 15.35 states: An entity transfers control of a good or service over time and, therefore, satisfies a performance obligation and recognizes revenue over time, if one of the following criteria is met:

Condition	Status
A. The customer simultaneously receives and consumes the benefits provided by the entity's performance as the entity performs	No As the wind turbine is still developed during the development process and can't be used by the customer until it is finished
B. The entity's performance creates or enhances an asset (for example, work in progress) that the customer controls as the asset is created or enhanced	Yes As the wind turbine is made on customer's site which the customer have control which does create enhancement of assets of the customer
C. The entity's performance does not create an asset with an alternative use to the entity and the entity has an enforceable right to payment for performance completed to date	No The turbine could be specific and has no alternative use, but Windcorp does not has an enforceable right to payment as the wind turbine is built on their site and requires certificate of acceptance in terms of finalization in 2022

Conclusion: Based on the checklists above, we could find at least 1 criteria met. Therefore we consider the transfer of control of a good and service as **over time**.

► Compute the respective contract revenues earned and show the respective journal entries

Journal entries

As we use transfer of control over time, we will refer to IFRS 15.39-41, where it is done by measuring the progress towards complete satisfaction of that performance obligation using input output method and we use percentage of completion to calculate it.

Percentage of Completion = Cumulative Cost Incurred : Total Estimated Cost

	2020	2021	2022
Cumulative costs incurred to date	225,000	540,000	607,500
Incurred cost of the period	225,000	315,000	67,500
Estimated costs to be incurred as of year-end	450,000	60,000	-
Billing & Payment of the customer	150,000	515,000	85,000

Year	PoC %
2020	$225,000/675,000 = 33.3\%$
2021	$540,000/600,000 = 90\%$
2022	$607,500/607,500 = 100\%$

Revenue per period = PoC x Total Contract Price - Prior Revenues Recognized

Year	Revenue per Period
2020	$33.3\% \times 750,000 - 0 = 250,000$
2021	$90\% \times 750,000 - 250,000 = 425,000$
2022	$100\% \times 750,000 - (250,000 + 425,000) = 75,000$

Journal Entries

Year	Account	Debit	Credit
2020	Cost of Sales	225,000	
	Cash		225,000
	Contract Asset	250,000	
	Revenue		250,000
	Cash	150,000	
	Contract Asset		150,000
2021	Cost of Sales	315,000	
	Cash		315,000
	Contract Asset	425,000	
	Revenue		425,000

	Cash Contract Asset	515,000	515,000
2022	Cost of Sales Cash	67,500	67,500
	Contract Asset Revenue	75,000	75,000
	Cash Contract Asset	85,000	85,000

Financial Statement of Scenario 2:

	2020	2021	2022 (before acceptance certificate)	2022 (after acceptance certificate)
Contract Asset (Revenue per Period - Billing)	100,000	10,000	0	0 (given to customer)
Cash (Payment of Customer-Incurred Cost)	-75,000	125,000	142,500	142,500
Revenues	250,000	425,000	75,000	75,000
COGS	225,000	315,000	67,500	67,500
Net Income	25,000	110,000	7,500	7,500

► Compare the results of Scenario 1 and Scenario 2

	2020	2021	2022 (before acceptance certificate)	2022 (after acceptance certificate)
Revenue Scenario 1	0	0	0	750,000
Revenue Scenario 2	250,000	425,000	75,000	75,000
COGS Scenario 1	0	0	0	607,500
COGS Scenario 2	225,000	315,000	67,500	67,500
Net Income Scenario 1	0	0	0	142,500
Net Income Scenario 2	25,000	110,000	7,500	7,500

2. Customer Loyalty Program

- **What is the impact of the customer loyalty program on the revenues in 2021?**

Step 2: Identify the Performance Obligations in the Contract

Under IFRS 15, we identify two distinct performance obligations in this contract:

1. Sale of products: the transfer of goods to customers at point of purchase.

2. Material right (loyalty points): under IFRS 15.26, granting options to purchase additional goods or services constitutes a separate performance obligation when it provides the customer a material right. Per IFRS 15.B40, a material right exists when the customer would not receive the right without entering into the contract. Since customers only earn these discount points through purchases, the loyalty points represent a material right and therefore a second performance obligation.

Step 4: Allocate the Transaction Price to the Performance Obligations

The transaction price must be allocated based on standalone selling prices. Since the standalone selling price of the loyalty points are not directly observable, it must be estimated. The estimate is adjusted for:

- The likelihood that the option will be exercised (i.e., points redeemed)
- Any discount the customer could receive without exercising the option

Estimated standalone selling price of loyalty points (material right):
= (100% - 20%) x 3,000,000 points x USD 0.10 = USD 240,000

Allocation of transaction price

First Performance Obligation: Sale of products

= 32,000,000 / (32,000,000 + 240,000) x 32,000,000 = USD 31,761,787

Second Performance Obligation: Material Right — Loyalty Points

= 240,000 / (32,000,000 + 240,000) x 32,000,000 = USD 238,213

Journal Entries

Year	Account	Debit	Credit
2021	Cash Revenues Contract Liability	32,000,000	31,761,787 238,213

After 800,000 points used:

- $800,000 / (3,000,000 \times 80\%) = 33\%$
- $33\% \times 238,213 = 78,610$

	Contract Liability Revenues	78,610	78,610
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Total Revenue Impact in 2021:

Component	Amount (USD)
Revenue from product sales	USD 31,761,787
Revenue from loyalty point redemption (800,000 points)	USD 78,610
Total Revenue recognized in 2021	USD 31,840,397
Contract Liability (deferred) carried forward	USD 159,603

Journal Entries for 2022 and 2023

Step 4: Allocate the Transaction Price — 2022 Points

Due to increased customer interest, the company revises the expected decay rate from 20% to 10%. The standalone selling price of the 2022 loyalty points is recalculated
 $= (100\% - 10\%) \times 5,000,000 \text{ points} \times \text{USD } 0.10 = \text{USD } 450,000$

First Performance Obligation: Sale of products
 $= 55,000,000 / (55,000,000 + 450,000) \times 55,000,000 = \text{USD } 54,553,652$

Second Performance Obligation: Material Right — Loyalty Points
 $= 450,000 / (55,000,000 + 450,000) \times 55,000,000 = \text{USD } 446,348$

Journal Entries in 2022

Of the 3,500,000 total points used in 2022, 2,000,000 relate to the remaining 2021 batch (fully released via cancellation entry) and 1,500,000 relate to the 2022 batch.

Year	Account	Debit	Credit
2022	Cash Revenues Contract Liability	55,000,000	54,553,652 446,348

As the 2021 program year has ended, the remaining deferred revenue is released in full.

	Contract Liability Revenues	159,603	159,603
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After usage of 1,500,000 points (2022 batch)

= $1,500,000 / (5,000,000 \times 90\%) = 33\%$

Contract Liability = $33\% \times 446,348 = 147,295$

	Contract Liability Revenues	147,295	147,295
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Journal Entries in 2023

The loyalty program ended on 1 January 2023. The remaining 2022 contract liability is released in full as no further obligations exist.

Remaining 2022 Contract Liability = $446,348 - 147,295 = 299,053$

Year	Account	Debit	Credit
2023	Contract Liability Revenues	299,053	299,053

Summary of Contract Liability Movement

Event	Contract Liability (USD)
2021 — Initial deferral	238,213
2021 — Release on 800,000 points redeemed	(78,610)
Balance carried into 2022	159,603
2022 — Full release (program year ended)	(159,603)
2022 — New deferral from 2022 points	446,348
2022 — Release on 1,500,000 points redeemed	(147,295)

Balance carried into 2023	299,053
2023 — Full release (program ended 1.1.2023)	(299,053)
Closing balance	0